



Solar and Energy Loan Fund (SELF)



March 10, 2021



Background



- ❖ St. Lucie County received a "Seed Grant" in 2009 through the U.S. Department of Energy (DOE) to create the first Green Bank in Florida (i.e., SELF);
- ❖ SELF was created as an Independent, Non-Profit 501(c)(3) organization in July 2010 which is overseen by a seven (7) member Board of Directors and staff of fifteen (15);
- ❖ SELF is a certified Community Development Financial Institution (CDFI), as per the U.S. Department of the Treasury, which means its lending activities are focused primarily on Low- and Moderate-Income (LMI) Homeowners (minimum of 60%);
- ❖ SELF became Operational in April 2011 as a pilot project in St. Lucie County and has since expanded to 90 cities and counties in Florida and a handful of projects in AL, GA, and SC;
- ❖ SELF has raised over \$25+ million in loan capital and grants to date and developed multiple unique lending programs to rebuild and develop new affordable housing with energy efficiency, clean energy, resilience, and sustainability.

Mission Statement

Rebuild and empower underserved communities by providing access to affordable and innovative financing for sustainable home improvement projects, including: energy efficiency; renewable energy (solar PV); climate resilience; water quality; and, much more.



BOARD OF DIRECTORS



L-R: Susan Glickman, Bob Cambric, Scott McCracken, Tom Cooper, Kyle Abney, Kristen Guettler, and Fran Ross



Support Services



- ✓ **FINANCIAL INCLUSION**
- ✓ **AFFORDABLE FINANCING**
- ✓ **PROJECT MANAGEMENT**
 - Prescreen contractors (licenses & insurance);
 - Building science and energy expertise
 - Review pricing to prevent price gouging;
 - Liaison between clients and contractors; and,
 - Pay contractors directly after final work is approved by local building inspectors.



Lending Policies and Procedures

UNSECURED PERSONAL LOANS

Target Market: Anyone can apply but SELF focuses on low- and moderate-income homeowners and retirees on fixed incomes.

Special Programs: For veterans, seniors, women, people with poor credit or no credit, and disabled homeowners.

Lending Criteria: Loan underwriting is based on the applicant's "**ABILITY TO REPAY**", not credit scores or equity. Credit-worthiness is verified by proof of income, recent credit history, and debt capacity.

Financial Inclusion: Increase access to affordable financing and help participants build or rebuild credit through the term of the loan.

Interest Rates: Between 5.0 - 11.0% (fixed). Unsecured loans are generally 18% or more depending on credit scores and credit cards are generally 20-25%.

Terms: 3-5 years, with some programs extending to 10 years.



Lending Programs

Unsecured/Residential

1

CDFI

SELF is a certified Community Development Financial Institution (CDFI) as per U.S. Treasury's CDFI Fund. Focus on Low- and Moderate-Income (LMI) homeowners. Flagship lending program (85% of our total lending)

2

KIVA

SELF is an approved "Field Partner" with KIVA (international nonprofit crowdfunding platform). This program has raised \$1 million of globally crowdfunded loans – specifically for women and veterans.

3

HALO

Home Adaptation Loan Options (HALO) for homeowners with disabilities, including assistive technologies and aging in place, such as wheel chair ramps, chair lifts, bathroom retrofits.

4

WQL

Water Quality Loans (WQL) for potable water hook-ups and sewer loans for septic-to-sewer conversions and lateral line replacement. Special pilot program underway in Martin County for septic to sewer conversions.

Secured/Commercial, Industrial and Residential (St. Lucie County only)

5

PACE

SELF administers St. Lucie County's Property-Assessed Clean Energy (PACE) program which is an equity-based, voluntary assessment that is paid off as a part the property tax bill. This program is also available for "new construction".



WHAT IS A CDFI?

- **Community Development Financial Institutions (CDFIs)** are private financial institutions dedicated to delivering responsible, affordable lending to help low-income, low-wealth, and other disadvantaged people and communities join the economic mainstream;
- CDFIs must direct at least **60% of their financial product activities** to one or more eligible low-income target markets, targeted populations, and investment areas.
- SELF has consistently exceeded minimum CDFI lending thresholds and is dedicated to **servicing market niches that are often underserved by traditional financial institutions**;
- SELF was certified as a CDFI in 2013 and re-certified statewide in 2016.





Types of Improvements

- **Energy Efficiency** (e.g. high-efficiency AC, LED lights)
- **Renewable Energy** (e.g., solar PV, solar water heaters) solar attic fans, solar A/C systems)
- **Climate Resilience** (e.g., new roofs and repairs, impact windows, doors, hurricane shutters)
- **Water Quality** (e.g., septic-to-sewer conversions and lateral line replacements. Potable water hook-ups. Plumbing. Mold remediation)
- **Disability Modifications/Aging In Place** (e.g., wheelchair ramps, walk-in showers, widening doorways and hallways, assistive technologies, and more)
- **Miscellaneous** (20% of project can be for general home improvements not included above)



 Solar Products

 Sewer and Water

 Storm Resilience

 Roofing

 Weatherization and Insulation

 Lighting

 Health and Safety

 Disability Products

 Air Conditioning



SELF Improvements



Contractor Benefits

No cost to join **SELF'S CONTRACTOR NETWORK**;

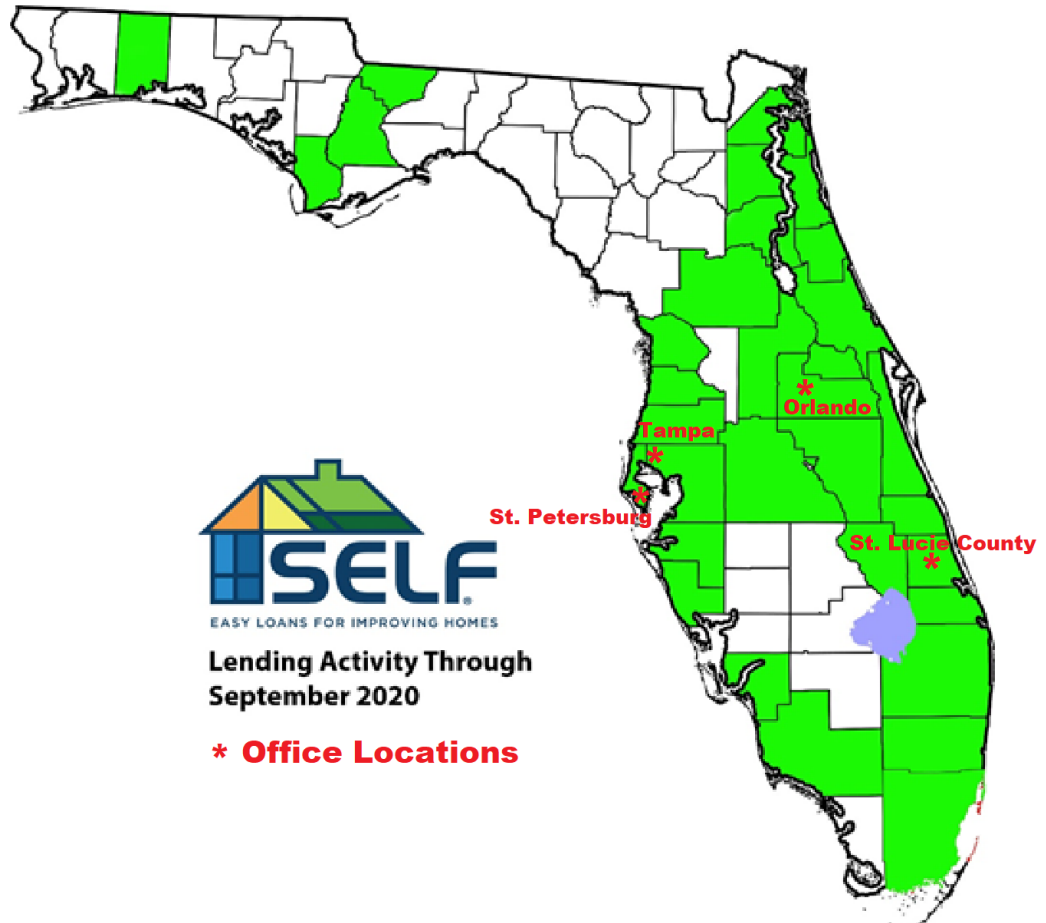
SELF's inclusive and affordable financing helps contractors expand business opportunities into Low- and Moderate-Income neighborhoods and individuals with poor credit;

SELF does not charge a “dealer fee” to contractors, which are typically 10-25% of project costs.

There is zero cost of capital to SELF contractors, which makes them more competitive and reduces prices to our clients.

SELF Contractor Network has over 500 companies
<https://solarenergyloanfund.org/find-a-contractor/>

Lending Footprint





Innovative Financing Sources

SELF raises low-cost capital from a variety of Socially Responsible Investors to create Social, Economic and Environmental Benefits, including:

- ❖ Faith-Based Organizations
- ❖ Global Crowdfunding (KIVA)
- ❖ National Health Systems
- ❖ Bank CRA Investments
- ❖ Private Investors/Impact Investors
- ❖ Government Programs (CDFI/DOE)

SELF is a certified CDFI; member of the Opportunity Finance Network (OFN); and, founding member of the American Green Bank Consortium.

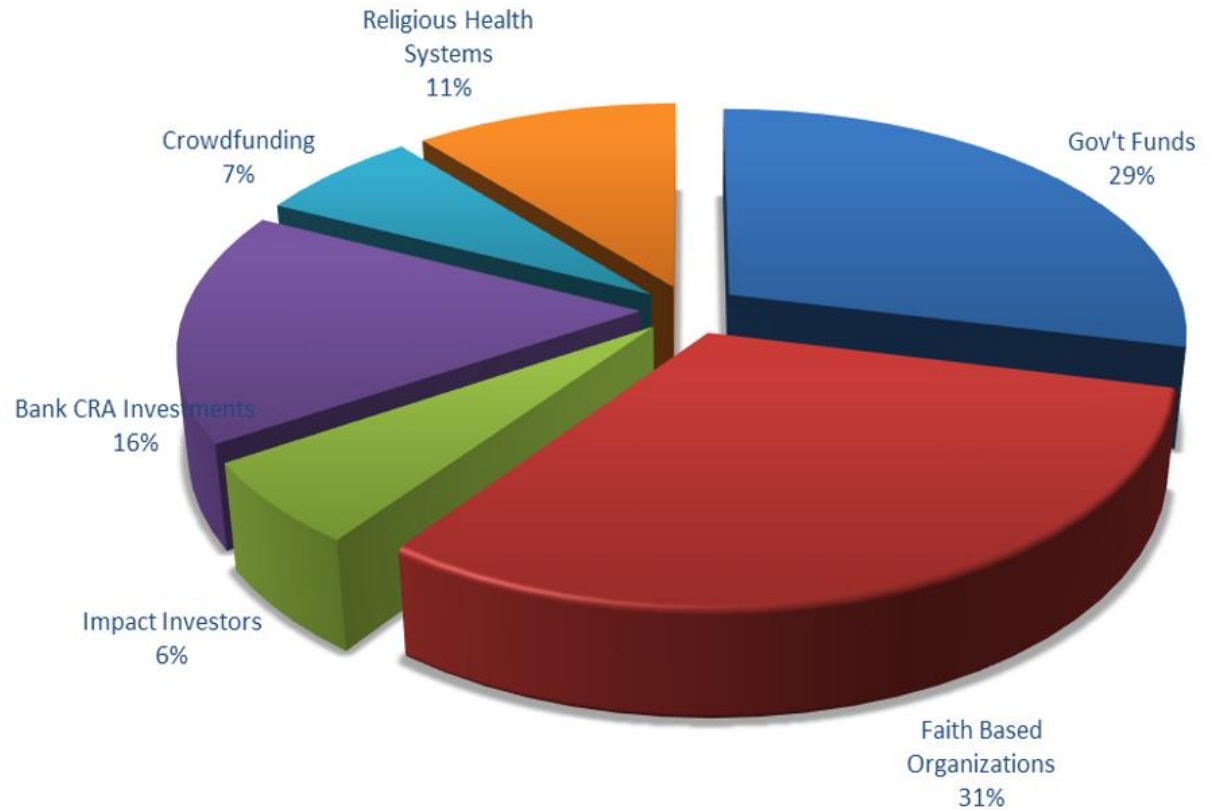


SELF has raised
\$25.85 million
\$21.2 MM Loan Capital
\$4.65 MM Grants

Largest Investor:



Capital Funders





Global Crowdfunding

KIVA's Worldwide Crowdfunding Platform has:

- ❖ 1.6 million individual lenders
- ❖ Funded \$1.4 Billion of projects
- **Veterans**
- **Women**

SELF is an approved **FIELD PARTNER** with **KIVA.org** which is a nonprofit global crowdfunding platform. Their innovative "peer to peer" lending program promotes clean energy, green jobs, and helps alleviate poverty. KIVA's crowdfunded loans also offer SELF clients our lowest interest rate (**5% fixed**).



kiva

Total Funds Raised = **\$1 million**
Total # of SELF Clients = 150



HALO: Disabled & Senior Homeowners



LOW-INTEREST LOANS FOR HOME RENOVATIONS

Low-cost financing for disabled and senior homeowners to complete home modifications.



- SELF is a member of the National Disability CDFI Coalition
- SELF secured \$900,000 of low-cost capital from the CDFI FUND for disabled homeowners (2018, 2019, and 2020).
- SELF is partnering with the Florida Alliance for Assistive Services and Technologies (FAAST) and the Florida Housing Coalition (FHC) to expand the HALO program statewide.

GET A LOW-INTEREST RATE LOAN
ON THESE QUALIFYING PRODUCTS



RAMPS



LIFT
SYSTEMS



DOORS
WIDENED



CEILING LIFT
SYSTEMS



BATHROOM
MODIFICATIONS



HOME
AUTOMATION
SYSTEMS



Water Quality

SELF and Martin County are piloting a new Septic-to-Sewer (S2S) conversion program to assist low- and moderate-income homeowners.

- Martin County offers residents \$1,000 rebate (or discount) applied to the cost of connecting to sewer lines.
- Average project cost = \$8,000
- MCU rebate program budgets \$200,000 = 200 projects.
- SELF will leverage \$200,000 with \$1.4 million in private/grant capital to fund 200 projects.

Special S2S Program Financing offer with SELF

- Martin County Utility will apply a \$1,000 rebate directly to the project.
- SELF finances balance of \$7,000 with a 10-year fixed payment of **\$85/month**.
- Utility waives connection fee and \$65 deposit for enrollment in sewer service.
- Loans will be collected from resident on the utility bill by MCU.
- SELF will collect all payments from MCU once a month.
- Delinquent accounts will a) have services discontinued by Utilities or b) can apply to get refinanced by another SELF program with less favorable terms.
- Sales/ education on program done by MCU and their boots on the ground.
- Projects done by MCU who acts as GC and sub contracts. SELF pays MCU the \$7,000 for the project as with any contractor.



SEPTIC — TO — SEWER LOAN

MARTIN COUNTY UTILITIES
David A. Duncan / Project Manager
772.221.1303
Customer Service
772.221.1434
www.martin.fl.us



Low-interest Rate Loans for Septic-to-Sewer Conversions

Get a low interest-rate loan to cover the costs of converting your onsite sewage treatment and disposal system to the Martin County Utilities sanitary sewer system.

8.0% INTEREST RATE	\$7,000 10 Year Term	No credit check No income limits No minimum home equity required
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Apply Today!
SolarEnergyLoanFund.org
or call 772.468.1818





“Triple Bottom Line” Impacts



- ★ Social
- ★ Environmental
- ★ Economic

RESULTS/IMPACTS

- SELF has financed 1,964 projects totaling \$17.34 million, with default rates below 2% and 74% of the lending activity in Low- and Moderate-Income (LMI) communities, 50% for seniors, and 40% for women.
- SELF’s clients have reduced average household energy consumption by about 25% (i.e., carbon footprint) with energy efficiency upgrades, and hundreds of clients have converted to rooftop solar energy (i.e., net-zero homes).
- Homeowners are making much-needed home improvements that enhance comfort, health and quality of life, increase equity, safeguard against storms and extreme weather events, and reduce operating costs (energy and property insurance).
- SELF has also created more than \$17 million of work for local contractors (i.e., AC, roofers, solar, etc).



Awards and Recognition

- Achievement Award for local energy programs from the National Association of Counties (NACo) - 2012
- “Green Business of the Year” award from the South Florida Chapter of the U.S. Green Building Council - 2013
- Identified by the Opportunity Finance Network as “1 of 5 trailblazing CDFIs in America” – 2015
- “Exceptional Non-Profit in Innovation” award from 211/TC - 2015
- Highlighted in the White House report on “Innovative Financing for Clean Energy Technologies”– December 2015
- Identified by U.S. DOE staff as a “shining legacy of the Better Buildings Neighborhood Program” and featured in their national newsletter of the Better Buildings Network– 2017
- “Non-Profit of the Year” finalist from 211/Treasure Coast – 2017
- Sustany Foundation “Sustainable Business Award” (Tampa) – 2019
- Pro Neighborhoods Awardee from JP Morgan Chase – 2019
- Opportunity Finance Network (OFN) Energy Efficiency Financing Grant (OFN) awardee - 2019
- Commendation Award from Hillsborough County Commission – 2020
- Guidestar Gold Seal of Excellence of Transparency 2020



Contact Information



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